

Done



Cambridge Assessment
International Education

Cambridge International AS & A Level

ECONOMICS

Paper 3 Multiple Choice

9708/32

May/June 2020

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
- Any rough working should be done on this question paper.



Zarale Mushtaq
Solved with reasons

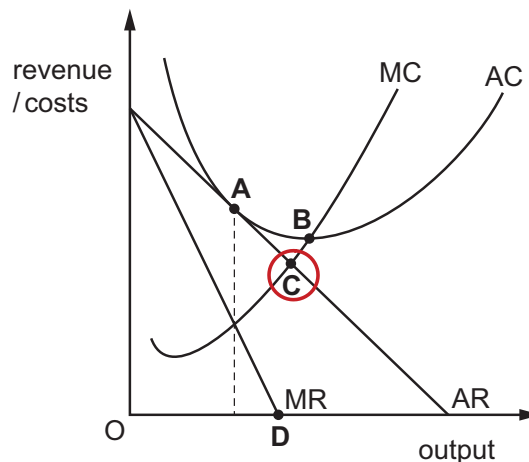
A

This document has **12** pages. Blank pages are indicated.

- 1 What is an example of a negative externality? *→ doesn't have² price attached to it*
External cost
- A Lower profit due to increased competition from new firms entering the market. *It can be determined*
- B Reduced government funding for a museum.
- ✓ C The increase in noise levels from aircraft due to the expansion of a large city airport. *EC*
- D The increase in production costs due to an increase in the cost of importing raw materials. *PC*

- 2 The diagram shows a firm operating in monopolistic competition.

At which point is the firm allocatively efficient? *(MC = price)*



A:- Normal profit
 B:- Productive
 D:- Sales revenue max

- 3 The amount of training undertaken in a mixed economy is not socially optimal.

What could explain this?

- A Experienced educators are a scarce resource. *(No link to socially optimal)*
- B In a mixed economy training is a public good. *Free rider problem (No!)*
- ✓ C The individual's benefit from training is less than the benefit to society. *(Concept of External benefit)*
- D Training is a large variable cost for firms. *(No link to socially optimal)*
- 4 Four bus companies control more than two-thirds of the market in a country. *[Oligopoly]*
'collusion'
 Critics claim that these companies fix prices on some routes to maximise revenue whilst lowering prices on other routes to stop smaller competitors entering the market.

Which anti-competitive practices are these companies accused of?

- ✓ A collusion and limit pricing
- B collusion and price leadership
- C limit pricing and price discrimination
- D price leadership and x-inefficiency
- Price leadership refers to a situation where prices and price changes established by a dominant firm, or a firm are accepted by others as the leader, and which other firms in the industry adopt and follow.
 - Limit pricing is a pricing strategy, where products are sold by the firm at a price which is lower than the average cost of production or at a price low enough to make in unprofitable for other players to enter the market.

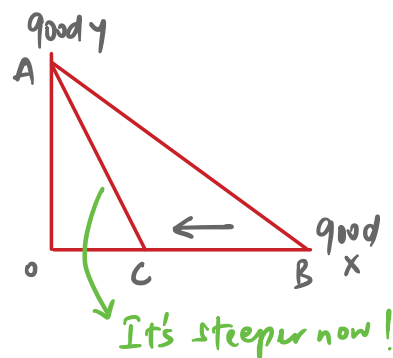
charging different prices to different consumers for the same product, reasons not associated with cost, it depends on PED!

- X-inefficiency is the divergence of a firm's observed behavior in practice, influenced by a lack of competitive pressure, from efficient behavior assumed or implied by economic theory.

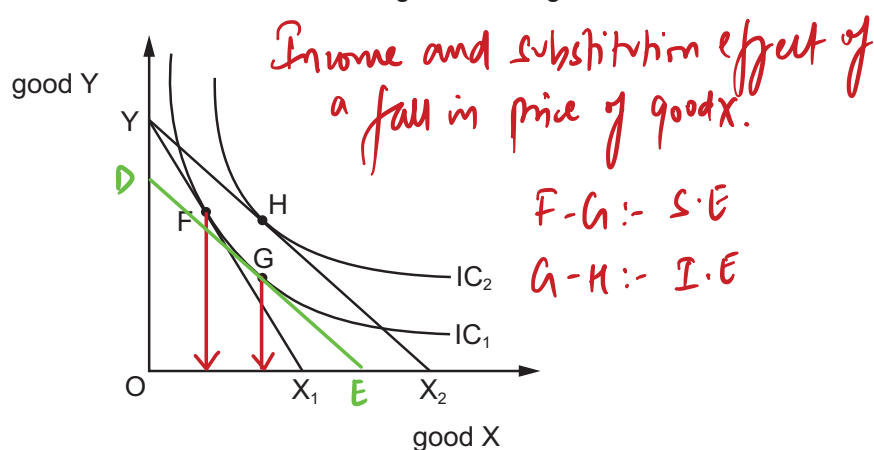
- 5 On a diagram the slope of a consumer's budget line becomes steeper.

What can definitely be concluded from this?

- A The consumer's income has fallen.
 B The consumer's income has risen.
 C The price has decreased for the product on the horizontal axis.
 ✓ D The price has increased for the product on the horizontal axis.



- 6 The diagram shows two indifference curves and two budget lines for goods X and Y.



The consumer's initial position is at point F. The consumer's preferred final position becomes point H.

What does the movement from F to G represent?

- A the income effect of a price fall for X
 B the price effect of a price change for X
 ✓ C the substitution effect of a price fall for X
 D the substitution effect of a price rise for X

- 7 The table shows the total costs at different levels of output for a firm producing chairs.

output (chairs)	total cost (\$)
0	50
1	60
2	64
3	77
4	94
5	114

FC
↓
50

$$(FC) - (VC) = 50 - 44 = \$6$$

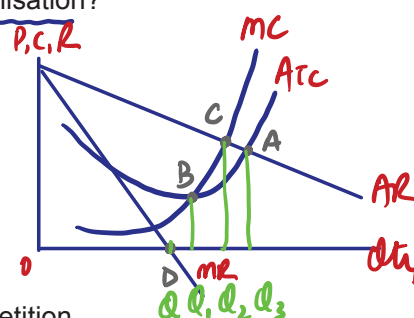
$$AVC = TVC/Q$$

What is the average variable cost when output is 4 chairs?

- ✓ A \$11 B \$17 C \$44 D \$23.50

- 8 At which level of output will a firm achieve the aim of sales maximisation?

- ✓ A where AC = AR
B where AC = MC
C where MC = AR
D where MR = zero (sales revenue maximization)



- 9 In market economies firms can operate under monopolistic competition.

Which feature is not typical of this type of market?

- A non-price competition through advertising
✓ B price leadership with few large firms → Oligopoly
C promotion of differentiated products
D unrestricted entry results in long-run normal profit

Monopolistic competition

- 10 When will the 'principal-agent' problem occur?

- A when managers are not allowed to become shareholders
B when members of a cartel collude to gain higher profit
C when one firm dominates the market
✓ D when owners have different objectives to managers

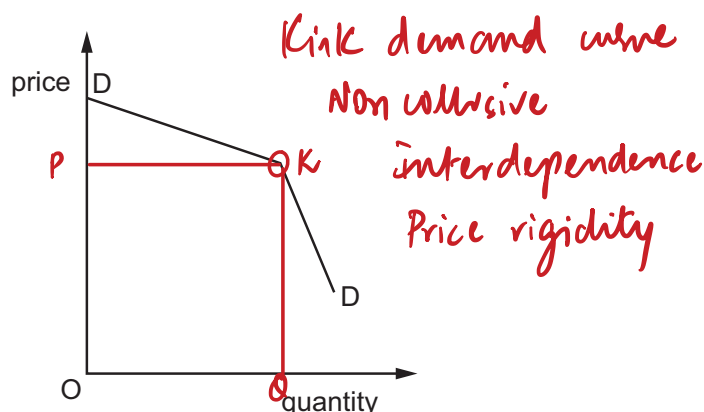
Profit max
level of
output
[MC = MR]

Sales revenue
maximization
[MR = 0]

• The principal-agent problem is a conflict in priorities between a person or group and the representative authorized to act on their behalf. An agent may act in a way that is contrary to the best interests of the principal.

• A widespread real-life example of the principal agent problem is the way companies are owned and operated. The owners (principal) of a firm will elect a board of directors. The board of directors monitor and guide the management team like C-Level executives (the agents)

- 11 Which feature of oligopoly is being assumed when the demand curve for an individual firm is as shown?



- A price discrimination (Nothing to do with kink demand)
 B price leadership by the dominant firm (collusive)
 ✓ C interdependence between firms
 D collusion between firms (collusive)

- 12 The table provides data on the number and value of mergers in Europe and North America between 2014 and 2017.

year	Europe		North America	
	number	value (euro)	number	value (US dollar)
2014	17 000	980 billion	14 000	2289 billion
2015	15 500	1161 billion	14 500	2533 billion
2016	18 100	1003 billion	15 100	1858 billion
2017	18 000	980 billion	18 500	1822 billion

What can be deduced from the table?

- A The average value of a merger in Europe was higher in 2017 than 2014. '980' '980'
 ✓ B The difference in the number of mergers in Europe and North America was the same in 2014 and 2016. 3000, yes!
 C The value of mergers each year in US dollars was always lower in Europe. Higher
 D The number of mergers each year was always higher in Europe. Not in 2017
 No!

- 13 Charities distribute plastic bags to households that householders can fill with clothes they no longer want. The charities then collect them and sell the clothes to raise funds. Only one charity leaves a note thanking the householder for the donation.

What best describes this charity's approach?

- A game theory (Oligopoly) (Non-price competition) (Advertising)
 B monopoly behaviour (High price, low output, welfare loss)
 C non-price competition (Advertising)

- ☒ D nudge theory • Nudge theory is a concept in behavioral economics, political theory, and behavioral sciences that proposes positive reinforcement and indirect suggestions as ways to influence the behavior and decision-making of groups or individuals.

- 14 What could prevent a market failure?

- A barriers to entry (leads to Monopoly)

- ☒ B building regulations

- C growth of firms (leads to Monopoly)

- D persuasive advertising (Imperfect Knowledge)
'fairness'

- Regulatory economics is the economics of regulation. It is the application of law by government or independent administrative agencies for various purposes, including remedying market failure, protecting the environment, and economic management.

- 15 When will a society have achieved an equitable distribution of income?

- A when all individuals have equal job opportunities
 B when all workers are paid the same wages
 C when the incomes within the society are equally distributed

- ☒ D when the society believes that the distribution of income is fair

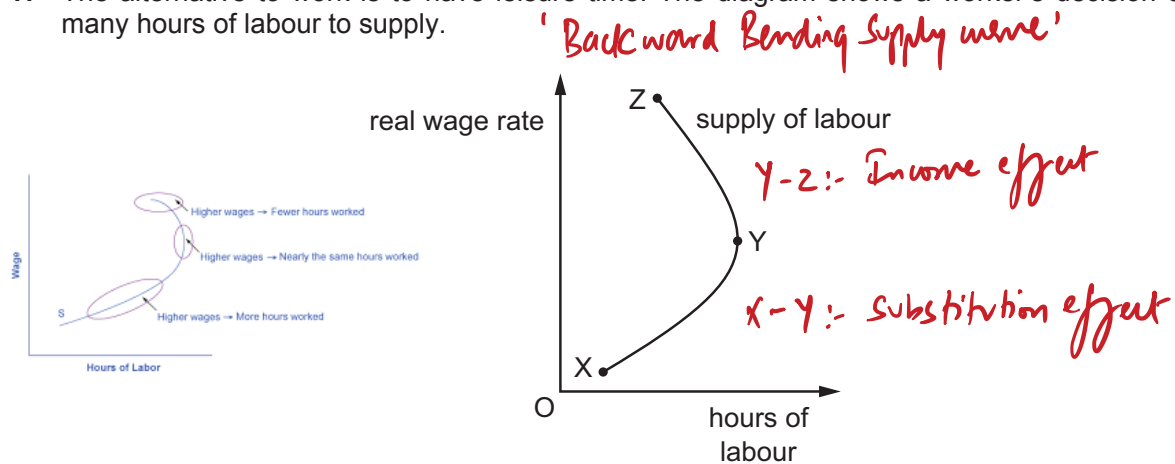
- What is it? Equitable distribution of income ensures distributing welfare to ensure fairness and allowing members of the economy to have the same opportunity to accumulate wealth. The Government redistributes tax revenue to ensure equitable distribution of wealth.

- 16 'The addition to revenue which results from employing one additional unit of a factor of production, while the quantities of all other factors of production remain constant'.

What does this define?

- A marginal factor cost MC_L
 B marginal revenue Additional revenue
☒ C marginal revenue product ' $MRP = MPP \times MR$ '
 D the law of diminishing returns $MPL \downarrow$

- 17 The alternative to work is to have leisure time. The diagram shows a worker's decision of how many hours of labour to supply.



What happens between Y and Z?

- ☒ A Extra leisure is preferred to work.
- B Extra work is preferred to leisure.
- C The job now requires more specific skills.
- D The price elasticity of supply for the final product has become more inelastic.
- 18 By moving from rural areas to large urban areas to work, how might economic migrants create benefits in both areas in developing countries?

	rural areas	urban areas
☒ A	by improving land ownership systems	by becoming better educated
B	by <u>receiving financial help</u> from <u>urban workers</u>	by <u>providing necessary labour</u>
C	by reducing population pressure on resources	by living in informal settlements
D	by solving unemployment problems	by obtaining loans from moneylenders

- 19 Which change is most likely to increase both economic growth and economic development in the long run?

- A a decrease in the saving ratio *Economic growth*
- ☒ B an increase in investment in human capital *→ Training and Education*
- C the depletion of non-renewable resources *Economic growth*
- D the greater use of compulsory overtime working of labour *Economic growth ↑*
- Economic development ↓*

• Economic development:
In the economic study of the public sector, economic and social development is the process by which the economic well-being and quality of life of a nation, region, local community, or an individual are improved according to targeted goals and objectives

• Economic growth is an increase in the production of goods and services over a specific period. To be most accurate, the measurement must remove the effects of inflation. Economic growth creates more profit for businesses. As a result, stock prices rise. That gives companies capital to invest and hire more employees.

20 The table gives population data from the United Nations.

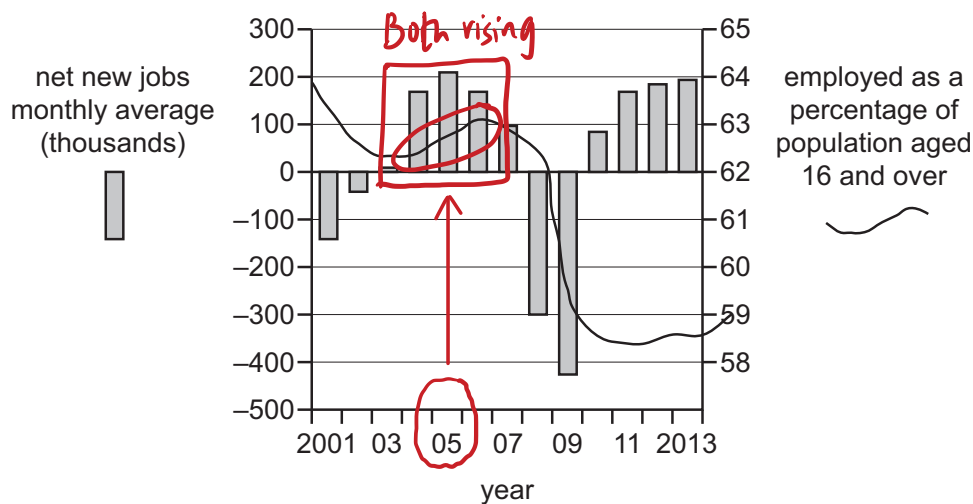
	low-income countries	lower-middle-income countries	upper-middle-income countries	high-income countries
* rate of population change (% per year)	2.7	↓ 1.5	↓ 0.8	↓ 0.5
* life expectancy (years)	61	↑ 67	↑ 74	↑ 80
death rate (per 1000 population)	[9	↓ 8	↓ 7	↑ 8]
* under-5 mortality (per 1000 live births)	90	↓ 59	↓ 18	↓ 6

Doesn't represent expected trend

As countries move from low income to high income, which indicator shows a value that does **not** represent the expected trend?

- A the rate of population change in upper-middle-income countries
- B the life expectancy in high-income countries
- ✓ C the death rate in high-income countries
- D the under-5 mortality in upper-middle-income countries

21 The diagram shows selected US labour statistics from 2001 to 2013.



What can be concluded from the diagram?

- ✓ A Between 2004 and 2005, when the number of net new jobs was rising, the percentage employed increased.
- B Employed as a percentage of the population aged 16 and over declined continuously. *No*
- C The natural rate of unemployment was achieved only in 2008. *It's not phillips curve*
- D The number of employed workers rose in all except four years.

Data in %

22 What indicates that a developing country is becoming less dependent on foreign aid?

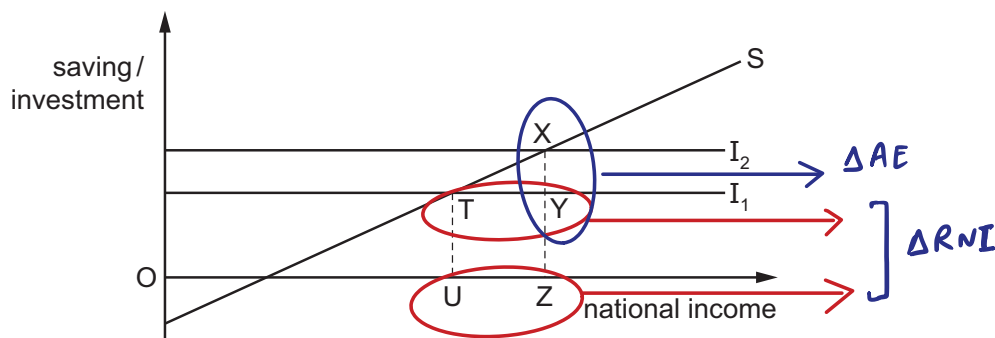
- dependency*
- ☒ A It gains foreign currency by exporting a range of raw materials, and uses this to import machinery from developed economies. *Earnings from Exports, used as Imports*
 - ☐ B It has to change its economic structure in order to qualify for a bailout loan from the World Bank.
 - ☐ C Its balance of payments goes into deficit when it has to start paying interest on loans taken out with foreign banks.
 - ☐ D Its local firms go out of business after a foreign multinational sets up in the country.

23 How must GDP at market prices (producer prices) be adjusted to find GDP at factor cost?

- ☐ A by adding exports and deducting imports
- ☐ B by adding net property income and deducting transfer payments
- ☐ C by adding profits and deducting income taxes
- ☒ D by adding subsidies and deducting indirect taxes

• Gross value of output = Value of the total sales of goods and services + Value of changes in the inventories. The sum of net value added in various economic activities is known as GDP at factor cost. GDP at factor cost plus indirect taxes less subsidies on products is GDP at producer price.

24 The diagram shows the equilibrium levels of national income in a closed economy with no government, at two levels of investment, I_1 and I_2 .



Which ratio gives the value of the multiplier? $\rightarrow \frac{\Delta RNI}{\Delta AE}$

- A $\frac{TX}{UZ}$
- B $\frac{UZ}{TX}$
- ☒ C $\frac{UZ}{XY}$
- D $\frac{XY}{UZ}$

25 An upward shift of the curve relating consumption to national income could be caused by

- ☒ A a reduction in taxation. *Tax ↓, MPC ↑, C ↑, shift.*
- ☐ B an increase in investment. *Not relating to consumption*
- ☐ C an increase in national income. *X-axis change*
- ☐ D an increase in savings. *S ↑ C ↓ AE ↓*

md / LP

26 Which combination of changes is most likely to result in an increase in the demand for money?

	income level	price level	interest rate
A	fall	fall	rise
B	fall	rise ✓	fall ✓
C	rise ✓	fall	rise
D	rise ✓	rise ✓	fall ✓

Income ↑ → Higher demand for money for T + P

Prices ↑ → To protect purchasing power, md ↑

r ↓ → More md for T + P + S

27 In 1936 Keynes explained how economic policy can be used to increase aggregate demand and prevent an economic depression.

Which policy supports Keynes' theory?

A Central banks should raise interest rates and decrease liquidity.

B Governments should increase expenditure and decrease taxation. Tax ↓, G ↑ [AD ↑]

C Governments should encourage consumer savings rather than expenditure.

D Trading policy should prevent the free movement of capital.

28 A central bank increases the money supply in an attempt to stimulate investment and growth when the economy is in recession.

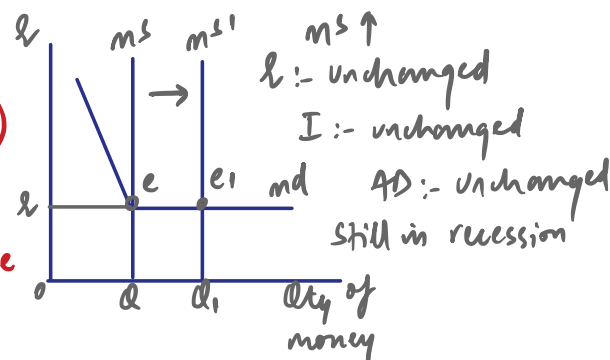
When might this policy be ineffective?

A if the economy is in the liquidity trap (Note given)

B if the economy is in the poverty trap (Note given)

C if the Marshall-Lerner condition does not hold

D if the value of the multiplier is very low



29 Which statement describes what the Phillips curve shows?

A An inverse relationship exists between inflation and unemployment.

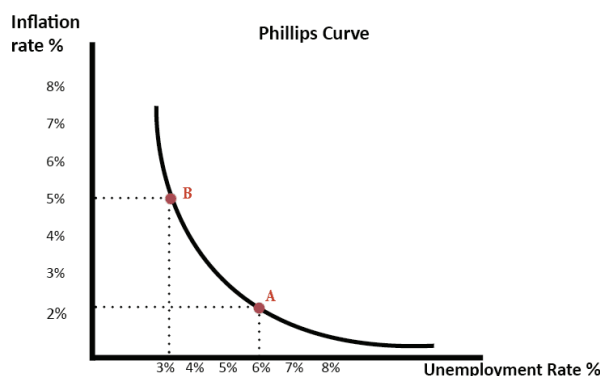
B As employment increases the balance of payments deteriorates.

C Economic growth and employment have a positive relationship.

D It is possible to achieve low inflation and high economic growth at the same time.

• A liquidity trap is a situation, described in Keynesian economics, in which, "after the rate of interest has fallen to a certain level, liquidity preference may become virtually absolute in the sense that almost everyone prefers holding cash rather than holding a debt which yields so low a rate of interest."

- The Phillips curve is an economic concept developed by A. W. Phillips stating that inflation and unemployment have a stable and inverse relationship. The theory claims that with economic growth comes inflation, which in turn should lead to more jobs and less unemployment.



- In economics, a poverty trap or cycle of poverty are caused by self-reinforcing mechanisms that cause poverty, once it exists, to persist unless there is outside intervention. It can persist across generations, and when applied to developing countries, is also known as a development trap

G↑ Tax↓

- 30 To stimulate economic growth the government increases the size of its budget deficit and funds this by increasing the money supply. $ms↑$

What is most likely to reduce the effectiveness of these measures in achieving their aim?

- A a floating exchange rate ($£↓$, depreciation, Trade surplus, Economic growth).
 B a high marginal propensity to import [$Tax↓, G↑$] → $Income↑, C↑, m↑$
 C a low marginal propensity to save [$ms↑, £↓$]
 D an interest-inelastic demand for money

↓
 $mps↓$
 $mpe↑$
 → Used for rise in interest rate

Aim achieved